No. 26-1864

IN THE UNITED STATES COURT OF APPEALS
FOR THE SEVENTH CIRCUIT

Tushawn Craig, *et al.*,

Plaintiffs-Appellees,

v.

City of Richmond, Indiana,

Defendant-Appellant.

Appeal from the United States District Court for the Southern District of Indiana

Case No. 1:25-cv-00782-MPB-MJD; The Honorable Matthew P. Brookman

BRIEF OF APPELLEES

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JURISDICTIONAL STATEMENT

The Appellees (hereinafter "the citizens of Richmond") are dissatisfied with Appellant's ("City of Richmond") jurisdictional summary as it is incomplete and incorrect because the District Court never had jurisdiction under 28 U.S.C. § 1332(d)(11)(B) when the case does not constitute a mass action. That is the crux of the issue before this Honorable Court.

Under 28 U.S.C. § 1332(d)(11), the district courts shall have original jurisdiction of any civil action in which the matter in controversy exceeds the sum or value of $5,000,000, exclusive of interest and costs, and is a mass action. A mass action is a civil action in which monetary relief claims of 100 or more persons are proposed to be tried jointly on the ground that the plaintiffs' claims involve common questions of law or fact. 28 U.S.C. § 1332(d)(11)(B)(i).

The term mass action shall not include any civil action in which all of the claims in the action arise from an event or occurrence in the State in which the action was filed, and that allegedly result in injuries in that State or in States contiguous to that State. 28 U.S.C. § 1332(d)(11)(B)(ii). CAFA has a "local single event exception" that applies "only to a truly local single event with no substantial interstate effects." *Allen v. Boeing Co.*, 784 F.3d 625, 632 (9th Cir. 2015).

Notably, the citizens of Richmond subsequently filed a Notice for Voluntary Dismissal of Defendant, My-Way Trading, Inc., under Federal Rule of Civil Procedure 41(a) prior to their Answer to Plaintiffs' Complaint.[1] Therefore, this case is brought by citizens of Richmond, against the City of Richmond in the State of Indiana, Seth Smith, a resident of Indiana, and Cornerstone Trading Group, LLC, an Indiana corporation.

This is a civil action brought in Richmond, Indiana, in which all of the claims are arising from a

[1]The City of Richmond makes several references to the citizens of Richmond's claims against My-Way Trading Inc.; however, those claims are wholly inapplicable when they have been dismissed from this lawsuit. The citizens of Richmond would therefore respectfully request this Court decline to consider any evaluation of the issues at hand as they apply to My-Way Trading, Inc.

fire on April 11, 2023, in Richmond, Indiana that caused injuries to the citizens of Richmond, Indiana. The District Court did not have original jurisdiction under CAFA at the time of removal when the single event or occurrence exception applied. This is the basis of the City of Richmond's appeal.

Since the District Court properly concluded that this matter was not a mass action and that it did not have jurisdiction, the Seventh Circuit Court of Appeals similarly does not have jurisdiction to hear an appeal on the remand order. We explicitly see this in *Anderson v. Bayer Corp.*, 610 F.3d 390 (7th Cir. 2010) and *LG Display Co. v. Madigan*, 665 F.3d 768 (7th Cir. 2011). In those matters, after initially being removed to federal court under CAFA, the Court found that the cases did not meet the definition of "mass actions" under 28 U.S.C. § 1332(d)(11)(B). *Id.* Irrespective of the specific provision of 28 U.S.C. § 1332(d)(11)(B) that the Court found inapplicable, in both of those cases the District Court correctly determined that the case was not a mass action under CAFA. *Id.* Thus, the Appellate Court lacked jurisdiction over an appeal from the district court's remand order, and the petition to leave for appeal under 28 U.S.C. § 1453(c) was denied. *Anderson*, 610 F. 3d at 395; *LG Display*, 655 F.3d at 774. The same applies here.

Given that the District Court did not have jurisdiction under CAFA, the Seventh Circuit Appellate Court lacks jurisdiction over this appeal from the District Court's Order Adopting Magistrate Judge's Recommended Disposition. (JA1-JA12).

STATEMENT OF THE CASE

On April 11, 2023, the properties at 308, 310, and 358 NW F Street in Richmond, Indiana (hereinafter "the Industrial Facility") were engulfed by a massive fire and burned for at least seven (7) days. (Civil Action No. 1:23-cv-1575, Dkt. 1-3, p. 4). This fire is the singular event from which the citizens of Richmond were injured.

As a direct result of that fire, police and fire officials issued an order requiring individuals within 0.5 miles of the Industrial Facility to evacuate and those outside the evacuation zone to shelter in place. *Id.* The evacuation order was lifted on April 16, 2023, but it was not until April 19, 2023, that the Richmond Fire Department declared that the fire had been extinguished. *Id.*

As a result, two lawsuits have been pursued that stem from this catastrophic inferno on April 11, 2023: (a) a class action brought by the residents within the evacuation zone[2] and (b) the present, individual action brought by one hundred and fifty-two (152) citizens of Richmond, both inside and outside of the evacuation zone.

By the time the two-year statute of limitations approached in April of 2025, the Southern District Court had not determined whether to certify the class.[3] In order to preserve the claims of potential class members and citizens who did not meet the definition of a class member, this individualized action was filed.[4] The citizens of Richmond's Complaint alleges that for years leading up to the April 11, 2023, fire, Defendants were aware that a fire hazard existed and failed to take affirmative steps to address it.

On August 11, 2025, the Magistrate Judge sua sponte issued a Report and Recommendation to

[2] 1:23-cv-1575, S.D. Ind.; Crossen Law Firm no longer represents the class action plaintiffs.

[3] The Class was subsequently certified and class members are actively being notified. 1:23-cv-1575, S.D. Ind.

[4] Accusing the citizens of Richmond of forum shopping and attempting to avoid a District Court's denial of remand in a separate case is disingenuous and unnecessary when remand was determined by the District Court sua sponte. (App. Dkt. 26-1854, Dkt. 12, p. 8 and 38).

remand this matter to state Court. (JA30-38). After the City objected to the Magistrate's recommendation, the District Court issued an Order Adopting the Magistrate Judge's Recommended Disposition. (JA1-JA12). Since all of the claims in the action arise from that singular, catalytic event in Richmond, Indiana, the claim does not qualify as a mass action under CAFA, and the District Court did not have jurisdiction. The District Court properly remanded this case to State Court.

SUMMARY OF THE ARGUMENT

The citizens of Richmond respectfully request this Court affirm the District Court's Order Adopting Magistrate Judge's Recommendation (JA1-JA12) when the District Court did not have jurisdiction since the citizens of Richmond's Complaint involved a local, singular event or occurrence.

Firstly, the City of Richmond's misinterpretation of the citizens of Richmond's claims gives rise to the confusion in appropriately applying 28 U.S.C. § 1332(d)(11)(B)(ii). Since none of the citizens of Richmond were harmed by any conduct (or lack thereof) by the City of Richmond until the fire on April 11, 2023, they are not alleging continuous claims.

Secondly, the exception under 28 U.S.C § 1332(d)(11)(B)(ii) applies when the April 11, 2023, fire meets the definition of an event or occurrence in the state in which the action was filed that resulted in injuries in that state. By applying the Ninth Circuit's interpretation of "event" under *Allen*, the April 11, 2023, fire falls into the exception when it was a truly local, notable, singular, injury causing event with no substantial interstate effects. Furthermore, no matter what Circuit Court's analysis is applied, this case falls under the exception. This matter wholistically and perfectly reflects the legislative intention of CAFA and should be remanded to state court.

ARGUMENT

I. The City of Richmond's Brief is Predicated Upon the Mischaracterization of the Citizens of Richmond's Complaint for Damages and Allegations Therein.

First and foremost, the City of Richmond misconstrues the citizens of Richmond's allegations that the City of Richmond knew or should have known of the dangers as being explicit acts or omissions that caused their injuries. That is not the case. The citizens of Richmond's negligence claims relate to the ignition of the three parcels of land – not the several circumstances that occurred over various periods of time. There was no injury and thus no cognizant claim until the fire, the culminating and pivotal moment of injury, on April 11, 2023.

In Indiana, the elements of a personal injury tort are: (1) that the defendant owed the plaintiff a duty; (2) that the defendant breached that duty; and (3) that the breach caused injury to the plaintiff. Rightsell v. Carrington Mortg. LLC, 2026 U.S. Dist. LEXIS 51716 at *6 (N.D. Ind. Mar. 6, 2026). The most imperative distinction here is that there is no tort claim unless it caused injuries. Having clarified the basis of the citizens of Richmond's allegations, defining the "event or occurrence" under the CAFA exception is much more apparent.

II. The April 11, 2023, Fire at the Industrial Facility in Richmond, Indiana Was a Singular Event

Secondly, the ultimate issue is whether a case involving a sudden, industrial fire at one location on April 11, 2023 constitutes a "mass action" when it shall not include any civil action in which all of the claims in the action arise from an event or occurrence in the State in which the action was filed, and that allegedly resulted in injuries in that State." 28 U.S.C. § 1332(d)(11)(B)(ii)(I) (emphasis added). "The 'event or occurrence' exclusion under CAFA applies only where all claims arise from a single event or occurrence." *Allen*, 784 F.3d at 629 (quoting *Lafalier v. Cinnabar Serv. Co., Inc.*, 2010 U.S. Dist. LEXIS 36215, 2010 WL 1486900, at *4 (N.D. Okla. April 13, 2010)).

The District Court further held that "event" includes "continuing tortious conduct so long as that conduct 'culminate[d]' in a single, injury causing event." (JA8). In support, the District Court cited several cases across all Circuits that have generally read "event or occurrence" to include tortious conduct that "culminate[d]" in a single, injury causing event. *Id.*; *See Spencer v. Specialty Foundry Prods. Inc.*, 953 F.3d 735 (11th Cir. 2020); *Rainbow Gun Club, Inc. v. Denbury Onshore, L.L.C.*, 760 F.3d 405 (5th Cir. 2014); *Abraham v. St. Croix Renaissance Group, L.L.L.P.*, 719 F.3d 270 (3d Cir. 2013); *Addison v. Louisiana Reg'l Landfill Co.*, 398 F. Supp. 3d 4, 13 (E.D. La. 2019); *Adams v. Int'l Paper Co.*, 2017 WL 1828908 at *6 (S.D. Ala. May 5, 2017); *Robertson v. Chevron USA, Inc.*, 2016 WL 3667153 at *9 (E.D. La. July 11, 2026); *Allen v. Monsanto Co.*, 2010 WL 8752873 at *10 (N.D. Fla. Feb. 1, 2010); *Hamilton v. Burlington N. Santa Fe Ry. Co.*, No. A-8-CA-132, 2008 WL 8148619, at *12 (W.D. Tex. Aug. 8, 2008). Applying it to the case at hand, the District Court found that the citizens of Richmond's allegations fell within the scope of the exception: it involved a truly local event with no substantial interstate effects; the fire allegedly caused some environmental harm; and the injuries were all truly local. (JA1-JA12; JA37).

As the District Court acknowledged, continuous conduct that was potentially wrong does not equal a claim until it culminated at a single instance in an injury causing event. (JA8). This differs from the facts in *Holiday v. Alt. Richfield Co.*, No. 2:16-cv-525 JVB, 2018 WL 11409352 (N.D. Ind. Mar. 7, 2018) which continuously caused plaintiffs' injuries over a span of time. Conversely, the citizens of Richmond are not claiming any injury from any conduct that happened before the fire on April 11, 2023; all of the citizens of Richmond's injuries stemmed from and are as a result of the April 11, 2023, fire. The District Court therefore correctly concluded that the exception applied to the case at hand.

In *Allen*, CAFA's "local single event exception" applies "only to a truly local single event with no substantial interstate effects." 784 F.3d at 632; (App. Dkt. 26-1864, Dkt. 12, p. 10). *Allen*

provides that an 'event' is 'something (especially something important or notable) that happens' or 'a thing that happens, esp. one of importance.' *Id.* at 630-31. The court read "an event or occurrence" to mean a "single happening." *Id.* at 631. The court indicated that "an event or occurrence" should not apply to continuing tortious conduct unless it culminates in a single event. *Id.* There must be a single, claim-generating event – such as a fire. *Id.*; *see also* Robertson, 2016 WL 3667153; *Addison*, 398 F. Supp. 3d 4. This is equivalent to the approach taken by the District Court. *See* (JA9-JA10).

The *Allen* definition of the exception applies squarely here. Unlike cases involving a continuous course of tortious conduct gradually over many years, the citizens of Richmond are suing for the devastating consequences of a single catastrophic event: a massive industrial fire and explosion. While the City of Richmond may have been long aware of the accumulating plastics and debris on its properties, that mere accusation did not itself cause the citizens of Richmond's injuries. It was not until the Industrial Facility went up in smoke that families were displaced; neighborhoods were covered in soot and ash; homes were blackened with smoke; residents were forced to incur unexpected and mandatory expenses to find safe shelter for themselves and their pets; HVAC systems were shut down; people were forced to miss work; children were unable to go to school due to serious health concerns; families poured into Reid Health with trouble breathing; and the citizens of Richmond were harmed.

A slightly more generous yet uncanny analysis was also applied by the Third Circuit in *Abraham*, 719 F.3d 270. This case is particularly compelling – and ultimately dispositive – to the matter at hand. The Third Circuit rejected defendant's argument and held that the action fell within the local single event exception, explaining:

> "As the District Court explained, the 'word event in our view is not always confined to a discrete happening that occurs over a short period over a short time span such as a fire, explosion, hurricane, or chemical spill. . . The Court's construction of the

> word is consistent with the word's common usage. Important events in history are not always limited to discrete incidents that happened at a specific and precise moment in time. As further support for this construction, we note that the plain text of the exclusion and the statutory scheme do not delimit the words "event or occurrence" to a specific incident with a fixed duration of time. Because the words "event" and "occurrence" do not commonly or necessarily refer in every instance to what transpired at an isolated moment in time, there is no reason for us to conclude that Congress intended to limit the phrase "event or occurrence" in Section 1332 (d)(11)(B)(ii)(I) in this fashion." *Id.* at 277-78 (emphasis added).

[Transcription note: the rest of the quotation, the remainder of Argument II and the text of Argument III are not transcribed here.]

III. The District Court Did Not Have Jurisdiction Since the Case Was Not a Mass Action Under CAFA

CONCLUSION

In conclusion, the District Court's Order Adopting Magistrate Judge's Recommendation (JA1-12) should be affirmed when the District Court did not have subject matter jurisdiction since the citizens of Richmond's Complaint involved a local, singular event or occurrence. The citizens of Richmond were injured by a singular happening when a local fire erupted on April 11, 2023. Because the citizens of Richmond's claims fall under an exception to the definition of a "mass action," the District Court did not have jurisdiction and properly remanded the case back to state court.

Respectfully submitted,

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